



CHAPTER vii.

An Act for enabling D. H. Evans & Co. Limited to A.D. 1919.
re-arrange its capital and to provide for the cancel-
lation of its founders' shares and to issue fully-paid
ordinary shares in exchange therefor and for altering
the memorandum and articles of association of that
Company and to increase its capital and for enabling
D. H. Evans & Co. Founders' Shares Company
Limited to accept such ordinary shares of D. H.
Evans & Co. Limited in exchange for the founders'
shares of that Company and to pay to the directors
of D. H. Evans & Co. Founders' Shares Company
Limited compensation for loss of office as directors
of that company and for other purposes.

[29th May 1919.]

WHEREAS D. H. Evans & Co. Limited (in this Act called
"the Company") was incorporated in the year 1894 under
the provisions of the Companies Act 1862 as a company limited
by shares:

And whereas the capital of the Company is £402,000
divided into 200,000 6 per cent. cumulative preference shares
of £1 (all of which have been issued and are fully paid) 200,000
ordinary shares of £1 each (of which 180,194 have been issued
and are fully paid) and 2,000 founders' shares of £1 each (all
of which have been issued and are fully paid):

And whereas the whole of the founders' shares of the
Company are now registered in the name of or are the property
of D. H. Evans & Co. Founders' Shares Company Limited (in
this Act called "the Founders' Company"):

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And whereas the respective rights of the holders of the ordinary and founders' shares of the Company are defined in the memorandum of association of the Company to be as follows:—

“6. The rights of the members subject to any alterations made under the powers given to meetings by the articles of association shall be as follows:—

“(a) The net profits of the Company shall subject to subsections (f) and (g) be applied in manner provided by subsections (b) (c) (d) (e) (f) and (g) hereof;

“(b) There shall be first paid thereout any dividend which under the terms of the issue of any shares may be payable in priority to the dividend on shares issued as ordinary shares;

“(c) There shall be paid out of the net profits of the Company for each year to the holders of the ordinary shares a non-cumulative dividend for the year at the rate of 7 per cent. on the amount paid up thereon for the time being;

“(d) Of the surplus net profits of the Company remaining after payment of the dividends provided for by subsection (c) 10 per cent. shall be carried to a reserve fund and of the remainder one moiety shall belong to the holders of founders' shares and the residue shall belong to the holders of ordinary shares;

“(e) All net profits belonging to the holders of the founders' shares and ordinary shares respectively under the foregoing subsections shall be divided amongst the holders of each of such class of shares pro rata according to the number of shares held and the amount paid up thereon for the time being;

“(f) In the event of the Company being wound up the surplus assets remaining after the return of the whole of the paid-up capital shall belong as to one half to the holders of the preference and ordinary shares and as to the balance to the holders of the founders' shares and be divisible as between the several holders of each

class of shares according to the amounts paid up thereon; A.D. 1919.

“(g) Any new shares from time to time to be created may from time to time be issued with any such right of preference whether in respect of dividend or of repayment of capital or both or any such other special privilege or advantage over any shares previously issued or to be issued and at any price or with such deferred rights as compared with any shares previously issued or to be issued or subject to any such special conditions and with any special right or without any right of voting and generally on such terms as the Company may from time to time by resolution in general meeting determine. Provided that except with the consent of a meeting of holders of founders' shares under the provisions of the articles of association no new shares shall be issued with any preference or priority over the founders' shares unless they have the same preference or priority over the ordinary shares;

“(h) Any shares of any particular class whether issued or not may be subdivided with such right to participate in profits as between the shares resulting from such subdivision as the majority of holders of the particular class of shares to be so subdivided may from time to time by special resolution passed at a meeting of such particular class of shareholders determine”:

And whereas Article 87 of the articles of association of the Company is as follows:—

“The holders of any class of shares may by a resolution passed by a majority of not less than three fourths of the holders for the time being entitled to vote in respect of shares of the class present in person or by proxy at any meeting of such holders of which notice specifying the intention to propose such resolution has been duly given consent on behalf of all the holders of shares of the class to the issue or creation of any shares ranking equally therewith or having any priority thereto or to the abandonment of any accrued dividend or

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of any preference or priority or the reduction for any time or permanently of the dividends payable thereon or to any scheme for the reduction of capital affecting prejudicially the class of shares and a resolution so passed shall be binding upon all the holders of shares of the class provided that this Article shall not be read as implying the necessity for such consent in any case in which but for this Article the object of the resolution could have been effected without it”:

And whereas by the memorandum of association of the Founders' Company it is provided that the objects for which the Company was established are:—

“ (a) To acquire the whole or any part of the founders' shares of D. H. Evans & Co. Limited and to hold the same upon trust to take all proper and necessary steps to maintain the present rights and advantages attaching to such founders' shares and for the purpose of receiving and distributing the dividends income and annual and other produce thereof or benefits arising therefrom and with a view thereto to enter into agreements referred to in clause 3 of the Company's articles of association and to carry the same into effect with or without modification and if and whenever such founders' shares or any part thereof shall be sold under the provisions hereinafter contained with reference thereto then to receive and hold and deal with the proceeds thereof upon and for the trusts and purposes hereinafter declared or prescribed concerning the same;

“ (e) With the consent in writing of all the members for the time being of the Company but not otherwise to sell or exchange or otherwise dispose of the original founders' shares or any of them”;

and other objects specified in the memorandum of association thereof:

And whereas by Article 3 of the articles of association of the Founders' Company it is provided that the Company should forthwith enter into agreements in the terms of the draft referred to in the said Article and by such agreements (being the agreements under which the Founders' Company acquired

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the shares of the Founders' Company) it was provided that the Founders' Company should take over the said founders' shares upon the trusts and for the ends intents and purposes only which were declared by the memorandum and articles of association of the Founders' Company :

And whereas by Article 4 of the articles of association of the Founders' Company it is provided that the basis on which the Company was established was that the Founders' Company should acquire and hold upon trust the whole or such part of the founders' shares of the Company as the holders should be willing to entrust to the Founders' Company upon the terms set forth in the said agreement and for the purpose of receiving and distributing the dividends income and annual and other produce thereof or benefits arising therefrom in accordance with clause 3 (b) of the memorandum of association of the Founders' Company and by Article 83 of the articles of association of the Founders' Company it is provided that neither the directors nor the Founders' Company should except as mentioned in clause 3 (e) of the memorandum of association have any power to sell assign or part with the possession of any of the original founders' shares in the Company nor consent to the alteration of any of the rights or advantages which they now carry and that the directors and the Founders' Company should at all times take proper steps to maintain and support such rights and in the event of the Founders' Company being wound up they should return to the shareholders in the Founders' Company their respective proportionate parts of the original founders' shares of the Company with their then present rights and advantages intact and by Article 116 of the articles of association of the Founders' Company it is provided that if the Founders' Company should be wound up the liquidator (whether voluntary or official) should subject to the payment of all debts and the expenses of the liquidation return to the shareholders their respective proportionate parts of the original founders' shares if they should not have been sold or disposed of in accordance with the articles of association of the Founders' Company :

And whereas by a resolution passed at a meeting of the holders of the ordinary shares of the Company duly convened and held on the 2nd day of October 1918 by a majority of not less than three fourths of the holders for the time being entitled to vote in respect of such ordinary shares present in

A.D. 1919. person or by proxy at such meeting of which notice specifying the intention to propose such resolution had been duly given the holders of such ordinary shares consented on behalf of all the holders of such ordinary shares to their rights as to dividends and capital being altered as set forth in this Act:

And whereas by a resolution passed at a meeting of the holders of the founders' shares of the Company duly convened and held on the 2nd day of October 1918 by a majority of not less than three fourths of the holders for the time being entitled to vote in respect of such founders' shares present in person or by proxy at such meeting of which notice specifying the intention to propose such resolution had been duly given the holders of such founders' shares consented on behalf of all the holders of such founders' shares to their rights as to dividends and capital being altered as set forth in this Act:

And whereas the Company is desirous and it is expedient that the rights of the holders of the founders' shares and the rights of the holders of the ordinary shares of the Company inter se should be modified or varied from those conferred by the memorandum of association of the Company in manner hereinafter provided:

And whereas it is expedient that the founders' shares of the Company should be extinguished and that the Company should be authorised to issue to the Founders' Company in lieu thereof 120,000 ordinary shares of the Company credited as fully paid as hereinafter provided:

And whereas by a special resolution passed and confirmed at meetings of the holders of the shares of the Founders' Company duly convened and held on the 2nd day of October 1918 and the 21st day of October 1918 respectively of which notice specifying the intention to propose such resolution had been duly given the directors of the Founders' Company were authorised to consent to the alteration of the rights of the holders of the 2,000 founders' shares of the Company and to accept the 120,000 ordinary shares in lieu thereof as set forth in this Act:

And whereas the Founders' Company is desirous and it is expedient that the Founders' Company should be empowered to accept such 120,000 ordinary shares of the Company credited as fully paid in exchange for the 2,000 founders' shares of the Company held by the Founders' Company:

And whereas the objects of this Act cannot be effected without the authority of Parliament A.D. 1919.

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

1. This Act may be cited as *D. H. Evans & Co. Limited* Short title.
Act 1919.

2. From and after the passing of this Act clause 5 and clause 6 of the memorandum of association of the Company shall be and the same are hereby cancelled and annulled and all references in the articles of association of the Company to the founders' shares of the Company shall be and the same are hereby cancelled and annulled and the memorandum and articles of association of the Company are hereby amended so as to conform with the provisions of this Act. Alterations of memorandum and articles of association of Company.

3. The capital of the Company (apart from the 120,000 new ordinary shares hereinafter mentioned) shall be £400,000 divided into 200,000 6 per cent. cumulative preference shares of £1 each (all of which have been issued and are fully paid) and 200,000 ordinary shares of £1 each (of which 180,194 have been issued and are fully paid) Provided always that the Company may from time to time increase or reduce the capital of the Company in manner provided by the Companies (Consolidation) Act 1908 and the regulations for the time being of the Company. Statement of capital of Company as altered.

4. The founders' shares of the Company and all rights and privileges in respect thereof shall be and the same are hereby extinguished and the Founders' Company and the holders or proprietors of such shares shall forthwith after the passing of this Act surrender to the Company for cancellation the certificates for the founders' shares of the Company held by the Founders' Company. Extinguishment of founders' shares.

5. The capital of the Company shall be increased by the creation and issue of 120,000 new ordinary shares of £1 each and the sum of £1 shall be deemed to have been paid up on each of such ordinary shares and the Company shall upon the surrender of the certificates for the founders' shares as aforesaid allot to the Founders' Company or as it shall direct a certificate or certificates for such new ordinary shares credited as fully paid. Increase of capital of Company.

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Rights of
new ordinary
shares.

6. Such new ordinary shares and the existing 200,000 ordinary shares shall form one class and shall rank *pari passu* in proportion to the amounts paid or credited as paid thereon as regards dividends capital and in all other respects but the holders of such new ordinary shares shall not be entitled to participate in any dividend declared by the Company in respect of the year ending the 19th day of February 1919.

Reserve
fund of
Company.

7. The sum of £16,392 16s. 3d. standing to the credit of the holders of the ordinary shares of the Company in the books of the Company and the sum of £3,832 18s. 1d. standing to the credit of the holders of the founders' shares in the books of the Company shall be carried to the general reserve fund of the Company.

Right of
Company to
issue new
preference
shares.

8. Any new shares from time to time to be created by the Company (not forming part of the 120,000 new ordinary shares of the Company by this Act directed to be issued in exchange for the 2,000 founders' shares of the Company) may from time to time be issued with any such right of preference whether in respect of dividends or of repayment of capital or both or any such other special privilege or advantage over any shares previously issued or to be issued and at any price (not being less than the nominal amount thereof) or with such defined rights as compared with any shares previously issued or to be issued or subject to any such special conditions and with any special right or without any right of voting and generally on such terms as the Company may from time to time by resolution in general meeting determine.

Subdivision
of shares.

9. Any shares of any particular class whether issued or not may be subdivided with such right to participate in profits as between the shares resulting from such subdivision as the holders of the particular class of shares to be so subdivided may from time to time by special resolution passed and confirmed at meetings of such particular class of shareholders determine.

Alteration of
articles of
association.

10. The articles of association of the Company shall be deemed to be altered by adding thereto the following new Article to be numbered 14*a* namely:—

“ 14*a*. The Company shall be at liberty to issue certificates of title under the seal of the Company and signed by two directors and countersigned by the secretary or some other person appointed by the directors representing

the right of the holders thereof to fractions of shares of the Company All the provisions of these Articles relating to shares or the transfer of shares shall apply to the fractions of shares represented by such certificates and to the transfer thereof and all the provisions of these Articles relating to certificates of title to shares shall apply to certificates of title to fractions of shares.”

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and by adding the following proviso to sub-clause (12) of Article 119 namely:—

“ Provided that the directors shall before recommending any dividend other than the dividend on the existing preference shares carry to reserve a sum equal to 10 per cent. of the profits of the Company for each financial year available for the payment of dividend after providing thereout an amount sufficient to pay the cumulative dividend payable on the existing preference shares inclusive of any arrears thereof or such other larger or smaller sum as may at any time and from time to time be prescribed by an extraordinary resolution of the Company in general meeting.”

11. Notwithstanding anything contained in the memorandum and articles of association of the Founders' Company the Founders' Company is hereby expressly authorised to exchange the 2,000 founders' shares of the Company held and owned by the Founders' Company for the above-mentioned 120,000 new fully paid ordinary shares of the Company to be issued under this Act without having obtained the consent in writing of all the members for the time being of the Founders' Company and Articles 4 and 83 of the articles of association of the Founders' Company are hereby cancelled.

Founders' Company authorised to accept new fully paid ordinary shares of Company to exchange for founders' shares of Company.

12. From and after the passing of this Act references in any instrument executed before the passing of this Act to the founders' shares of the Company shall be construed as references to the new fully paid ordinary shares of the Company to be issued in substitution for the same as aforesaid.

Reference in executed instrument to be construed to refer to new fully paid ordinary shares of Company.

13. The new fully paid ordinary shares substituted as aforesaid shall be held by the Founders' Company upon the same terms and subject to the same provisions as those upon which the Founders' Company held the founders' shares of the Company in substitution for which such new ordinary shares are issued and every deed or instrument affecting such founders'

New fully paid ordinary shares to be held on same terms and provisions as founders' shares.

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Saving for validity of prior acts by or proceedings against Company.

14. Save as in this Act expressly provided nothing in this Act shall prejudice alter or affect the memorandum or articles of association of the Company or shall be deemed to render valid or invalid any act deed or proceeding pending by or against the Company before or at the passing of this Act.

Distribution of profits of Company for year ended 19th February 1919.

15. The profits of the Company for the year ended the 19th day of February 1919 applicable for the payment of dividends after payment of working expenses interest on deposits and making such provision for depreciation and sinking funds as the directors shall think fit and after paying the dividend on the existing preference shares of the Company shall be distributed amongst the holders of the ordinary shares and the holders of the founders' shares in accordance with clause 6 of the original memorandum of association on the basis that the holders of the founders' shares of the Company shall be entitled to have distributed amongst them the whole of the portion of such profits as on the basis of such provisions are attributable to the holders of the founders' shares but that the holders of the ordinary shares of the Company shall be entitled only to have distributed amongst them such portion only of the profits attributable to them as the directors shall think fit so to distribute and the undistributed balance of such last-mentioned profits shall be carried forward to the credit of the general profit and loss account of the Company.

Saving rights of existing debenture stock and preference shares.

16. Nothing in this Act shall prejudice alter or affect the rights of the holders of the existing debenture stock or preference shares of the Company.

Saving right of Company to alter its articles of association.

17. Nothing herein contained shall affect the right of the Company from time to time to alter its articles of association for the time being (including the articles of association introduced by this Act) by special resolution passed and confirmed by the Company in general meeting.

Compensation to directors of Founders Company for loss of office.

18. The Founders' Company is hereby expressly authorised on the liquidation thereof to pay to its directors as compensation for loss of office as director of that company such sum not exceeding the sum of £1,050 as that company may by resolution of a general meeting (passed before or after liquidation) determine.

19. The Company shall within one month after the passing of this Act file with the Registrar of Joint Stock Companies a notice of the increase of share capital effected by this Act and also a statement of the amount of such increase duly stamped with the duty of five shillings for every one hundred pounds of such increase chargeable thereon and in default of that delivery the duty with interest thereon at the rate of five per cent. per annum from the passing of this Act shall be a debt to His Majesty recoverable from the Company. The Company shall pay to the registrar the like fees as would be payable under the Companies (Consolidation) Act 1908 on the registration of a notice of increase of nominal share capital.

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Notice of
increase of
capital to
Registrar of
Joint Stock
Companies.

20. The Company and the Founders' Company shall each deliver to the Registrar of Joint Stock Companies a printed copy of this Act and he shall retain and register the same in connexion with the Company and the Founders' Company respectively and if the Company or the Founders' Company shall fail to deliver such copy within three months from the passing of this Act the Company or (as the case may be) the Founders' Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the default continues and any director or manager of the Company or of the Founders' Company who knowingly and wilfully authorises such default shall incur the like penalty. Every penalty under this Act shall be recoverable summarily.

Copies of
Act to be
registered.

There shall be paid to the said registrar by the Company and by the Founders' Company on such respective copies being registered the like fees as are for the time being payable under the Companies (Consolidation) Act 1908 on registration of any document other than a memorandum of association.

21. To every copy of the memorandum and articles of association of the Company or of the Founders' Company supplied after the passing of this Act to any member of the Company or of the Founders' Company respectively under the provision of section 18 of the Companies (Consolidation) Act 1908 there shall be annexed a copy of this Act which for the purposes of that section shall be treated as part of the memorandum and articles of association of the Company or (as the case may be) of the Founders' Company.

Copies of
this Act to
be annexed
to memo-
randum and
articles of
association
of Company
and of
Founders
Company

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Consent of
Treasury to
issue of addi-
tional capital.

22. The Company shall not under the powers of this Act create or issue any capital during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained.

Costs of Act.

23. All costs charges and expenses of or incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

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